

INDY PROPERTY GUIDE

First-Time Home Buyer Checklist

15 Steps From Pre-Approval to Closing Day · Indianapolis & Central Indiana

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Get Ready

Months Before You Search



1. Check your credit score

Aim for 620+ for conventional, 580+ for FHA. Pull your free report at AnnualCreditReport.com. Don't open new credit cards or take on new debt during this time.



2. Calculate your budget

Use the 28/36 rule: housing costs under 28% of gross income, total debt under 36%. Factor in Indiana property taxes, insurance, and HOA dues.



3. Save for your down payment

FHA: 3.5% down. Conventional: 3-5% (20% avoids PMI). VA/USDA: 0% for eligible buyers. Also save for closing costs (2-4%) and a 2-3 month reserve fund.



4. Research down payment assistance programs

Indiana IHCD offers Next Home and First Home programs. Some counties have additional grants. Many first-time buyers leave free money on the table — don't skip this step.



5. Get pre-approved (not just pre-qualified)

Pre-approval means the lender verified your income, assets, and credit. Sellers take pre-approved offers more seriously. Also locks your rate for 60-90 days.

**6. Hire a buyer's agent**

You'll sign a Buyer Compensation Agreement that spells out services and payment. Interview 2-3 agents — ask about experience with first-time buyers and local neighborhood knowledge.

**7. Define your must-haves vs. nice-to-haves**

Must-haves: bedrooms, school district, commute, garage. Nice-to-haves: granite, finished basement, updated baths. Being honest upfront prevents decision fatigue.

**8. Tour homes strategically**

Plan to see 8-12 homes. Visit top choices at different times of day. Take photos and notes — after home #6, they all blend together.

**9. Research the neighborhood**

Check school ratings, flood zones (FEMA), HOA rules. Search the county assessor for tax history. Drive the area on a weekday evening. Ask about future development plans.

**10. Write a competitive offer**

Your agent pulls comps to determine fair price. Decide on earnest money (1-2% in Central Indiana), contingencies (inspection, appraisal, financing), and closing timeline.

**11. Negotiate**

Your agent handles counteroffers, repair requests, and credit negotiations. Stay focused on what matters most — price, repairs, closing date, included items.

**12. Schedule the home inspection**

Budget \$350-\$500. Attend in person. If significant issues surface, your agent can negotiate repairs or credits with the seller.

**13. Review the appraisal**

Lender orders an independent appraisal. If it comes in low, your agent negotiates — seller may lower price, you bring extra cash, or you meet in the middle.

**14. Final walkthrough**

Verify repairs were completed, nothing changed, all included items are there, and the home is in expected condition. Your agent addresses anything that's off before you sign.

**15. Closing day**

Bring photo ID and certified funds. Sign final paperwork, deed transfers, keys are yours. Usually takes 45-60 minutes. Congratulations — you're a homeowner!

Indianapolis-Specific Tips

- ◆ **Indiana is attorney-optional** — most Central Indiana buyers close with a title company only.
- ◆ **Earnest money is typically 1-2%.** On a \$275K home, expect \$2,750-\$5,500 toward your down payment.
- ◆ **MIBOR MLS** gives your agent full access to every active listing, including details Zillow often misses or delays.
- ◆ **Property taxes capped at 1%** for primary residences with the homestead exemption. File it with the county assessor after closing — it's free.
- ◆ **Closing costs run 2-4%** covering title insurance, lender fees, prepaid taxes, and insurance. Your Loan Estimate shows exact amounts.

Your Realty Link

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